

Company A plans to acquire Company B.

Company A has a **share price of ₹200, 50 crore shares outstanding, and Net Debt of ₹1,000 crore.**

Company B has a **share price of ₹120, 20 crore shares outstanding, and Net Debt of ₹400 crore.**

The acquisition is an **all-stock deal** at a **25% premium** to Company B's current share price.

The merger is expected to generate **annual synergies of ₹150 crore (pre-tax)**. The **tax rate is 30%**. No new debt is raised.

ANSWERS

- Company A Standalone Equity Value: 10,000 crore
- Company A Standalone Enterprise Value: 11,000 crore
- Company B Standalone Equity Value: 2,400 crore
- Company B Standalone Enterprise Value: 2,800 crore
- Offer Price per Share of Company B: 150
- Exchange Ratio: 0.75
- Number of New Shares Issued by Company A: 15 crore
- Combined Equity Value: 13,000 crore
- Combined Enterprise Value: 14,400 crore
- Post-merger EPS Impact: Accretive